

Sriharsha Majety,
Co-founder & CEO, Swiggy

food in under 10 minutes at scale, and we were eager to be the first to create this category, globally!” Goyal wrote at the time of the announcement. The company is currently setting up a network of ‘finishing stations’ or mini-kitchens in close proximity to high-demand customer neighbourhoods, similar to Swiggy’s dark stores. These finishing stations will house bestseller items (about 20-30 dishes) from various restaurants based on demand predictability and hyperlocal preferences. “If Zomato Instant works as envisioned, it will create significant impact on affordability (at least 50 per cent reduction in cost to the end customer), accessibility (reduction of delivery time from 30 minutes average to under 10 minutes), and quality (with influence over the supply chain, we will be able to ensure highest grade ingredients and hygiene practices across the supply chain),” Goyal had said at the time.

“Average eating out in urban India has grown from two to three times a month to about eight to 10 times. In comparison, most advanced markets in Southeast Asia average around 30+ times a month. In fact, many households in Singapore do not even have a full-fledged kitchen and they make do with a kitchenette. India may get there, and may not. But the country could move in that direction. It could become 20-25 times a month in select urban geographies or localities. With quick delivery in food, Zomato is facilitating this movement,” says K.S. Narayanan, who serves as an advisor to food and beverage companies such as True Elements, 4700BC Popcorn and Polar Bear-The Ice Cream Sundae Zone, among others.

Beyond food, Gurugram-based Zomato’s first big expedition is grocery delivery, where it had failed twice earlier in a span of two years. Now it is trying to resuscitate that dream. Zomato is in the final stages of acquiring Blinkit, the SoftBank-backed quick commerce platform, in a deal worth \$700-800 million. Zomato hopes to leverage Blinkit’s years of grocery business experience and club it with its delivery capabilities to join the quick commerce party without having to build the capabilities in-house. A potential merger offers multiple synergies including better cross-selling between



The ‘everything delivery’ model helps the Sriharsha Majety-led Swiggy to reduce discounts across its platform, and allows it to plug all of its riders into a single unit, which enables better utilisation of its delivery fleet

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food and grocery products, and effective optimisation of delivery, besides helping Zomato improve its top line, which is growing at a slow pace. On a sequential basis, its revenue rose just 9 per cent for the October-December 2021 quarter.

However, any attempt to ride Blinkit’s capabilities will need to also deal with the eight-year-old start-up’s baggage of challenges. Erstwhile Grofers, which specialised in delivery of groceries, fresh produce, stationery, electronics, and household